The Suspicious Activity Report (SAR) Form

Suspicious Activity Report

- This presentation is provided to educate financial institutions about the filing requirements and use of the Suspicious Activity Report.

Objectives:

Importance of filing a SAR
Which institutions must file?
What forms to file?
When to file?
Who uses the SAR?

The Importance of Filing a SAR

1. Identifies potential & actual illegal activity:
   - Money laundering
   - Terrorist financing
   - Other financial fraud & abuse
2. Detects & prevents flow of illicit funds
3. Establishes emerging threats through analysis of patterns & trends
4. It's required by law!

Financial Institutions Required To File SARs

- Depository Institutions (since April '96)
- Money Services Businesses (MSBs) (Money trans-mitters & issuers, sellers & redeemers of money orders or travelers checks since January '02)

  (Currency dealers & exchangers since March '03 – effective Aug. '03)
- Casinos & Card Clubs (since March '03)
- Securities & Futures Industries

  (Broker-Dealers since January '03)

  (Futures Commission Merchants & Introducing Brokers in Commodities – effective May 18, 2004)
- Insurance Companies (proposed)
- Mutual Fund Operators (proposed)

SAR Reporting Deadlines

- A financial institution is required to file a SAR:

– No later than ***30 calendar days*** after the date of initial detection of facts that may constitute a basis for the filing

– No later than ***60 calendar days*** if no suspect was identified on the date of detection of the incident requiring the filing

SAR Reporting for Depository Institutions

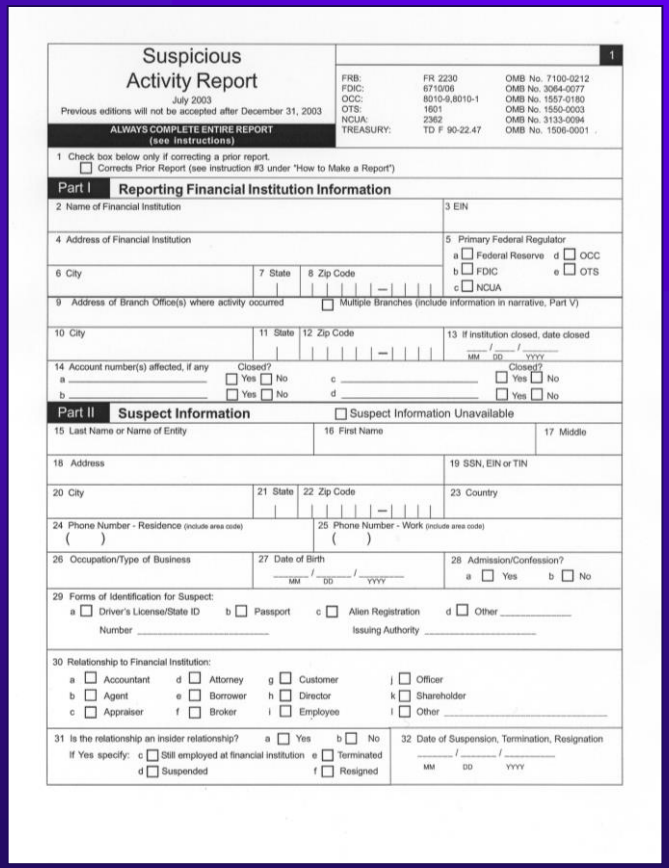
Depository Institutions Required To File A SAR

- Banks
- Savings Association
- Savings Association Service Corporations
- Credit Unions
- Bank Holding Companies
- Non-bank subsidiaries of bank holding companies
- Edge & Agreement Corporations
- U.S. branches & agencies of foreign banks

Depository Institutions

Form to use:

- Treasury Form TD F 90-22.47 SAR



Suspicious Activity Report

July 2003

Previous editions will not be accepted after December 31, 2003

ALWAYS COMPLETE ENTIRE REPORT (see instructions)

1

FRB:	FR 2230	OMB No. 7100-0212
FDIC:	6710/06	OMB No. 3064-0077
OCC:	8010-9,8010-1	OMB No. 1557-0180
OTS:	1601	OMB No. 1550-0003
NCUA:	2362	OMB No. 3133-0094
TREASURY:	TD F 90-22.47	OMB No. 1506-0001

1 Check box below only if correcting a prior report.
☐ Corrects Prior Report (see instruction #3 under "How to Make a Report")

Part I Reporting Financial Institution Information

2 Name of Financial Institution | 3 EIN

4 Address of Financial Institution | 5 Primary Federal Regulator a ☐ Federal Reserve b ☐ FDIC c ☐ NCUA d ☐ OCC e ☐ OTS

6 City | 7 State | 8 Zip Code

9 Address of Branch Office(s) where activity occurred ☐ Multiple Branches (include information in narrative, Part V)

10 City | 11 State | 12 Zip Code | 13 If institution closed, date closed ___ / ___ / ___ (MM DD YYYY)

14 Account number(s) affected, if any
a _____ Closed? ☐ Yes ☐ No
b _____ Closed? ☐ Yes ☐ No
c _____ Closed? ☐ Yes ☐ No
d _____ Closed? ☐ Yes ☐ No

Part II Suspect Information ☐ Suspect Information Unavailable

15 Last Name or Name of Entity | 16 First Name | 17 Middle

18 Address | 19 SSN, EIN or TIN

20 City | 21 State | 22 Zip Code | 23 Country

24 Phone Number - Residence (include area code) ( )

25 Phone Number - Work (include area code) ( )

26 Occupation/Type of Business | 27 Date of Birth ___ / ___ / ___ (MM DD YYYY) | 28 Admission/Confession? a ☐ Yes b ☐ No

29 Forms of Identification for Suspect:
a ☐ Driver's License/State ID b ☐ Passport c ☐ Alien Registration d ☐ Other _____
Number _____ Issuing Authority _____

30 Relationship to Financial Institution:
a ☐ Accountant d ☐ Attorney g ☐ Customer j ☐ Officer
b ☐ Agent e ☐ Borrower h ☐ Director k ☐ Shareholder
c ☐ Appraiser f ☐ Broker i ☐ Employee l ☐ Other _____

31 Is the relationship an insider relationship? a ☐ Yes b ☐ No
If Yes specify: c ☐ Still employed at financial institution d ☐ Suspended e ☐ Terminated f ☐ Resigned

32 Date of Suspension, Termination, Resignation ___ / ___ / ___ (MM DD YYYY)

When Must A SAR Be Filed?

For any known or suspected violations of federal criminal laws or regulations committed/attempted against or through the institution if it involves or aggregates at least $5,000 in funds or other assets & the bank knows, suspects, or has reason to suspect the funds are:

- Obtained from illegal activity
- Intended or conducted to hide or disguise funds or assets derived from illegal activity
- Designed to evade any reporting requirements of the Bank Secrecy Act (BSA)

31 CFR 103.18

When Must A SAR Be Filed?

For any known or suspected federal criminal violations committed/attempted against or through the institution involving funds (cont.):

- Transacted with no business or lawful purpose
- Not the sort the customer normally engages
- The institution knows of no reasonable explanation for the transaction after examining available facts including the background and possible purpose of the transaction

31 CFR 103.18

When Must a SAR Be Filed?

Note: Financial institutions may also report suspicious transactions that they believe are relevant to a violation of law or regulation but whose reporting is not required by 31 CFR Part 103.18.

SAR Reporting for Money Services Businesses (MSBs)

MSBs Required to File a SAR

- Money Transmitters
- Currency dealers or exchangers
- Issuers, sellers, or redeemers of money orders
- Issuers, sellers, or redeemers of traveler's checks

Money Services Businesses

Form to use:

- Treasury Form TD F 90-22.56 SAR-MSB

TD F 90-22.56
Treasury Form
October 2002

Suspicious Activity Report by Money Services Business

Please type or print. Always complete entire report (see instructions).

OMB No. 1506-0015

1 Check the box if this report corrects a prior report. (See instructions, page 7) ☐

2 Type of filer (check all financial services/products offered)

a ☐ Issuer of money order(s) b ☐ Redeemer of money order(s) c ☐ Seller of money order(s)
d ☐ Issuer of traveler's check(s) e ☐ Redeemer of traveler's check(s) f ☐ Seller of traveler's check(s)
g ☐ Money transmitter h ☐ U.S. Postal Service (see instructions) i ☐ Other _____

Part I Subject Information 3 ☐ Multiple subjects (See instructions, page 7)

4 Subject type (check only one box)
a ☐ Purchaser/Sender b ☐ Payee/Receiver c ☐ Both ("a" & "b") d ☐ Other

5* Individual's last name or Entity's full name | 6* First name | 7* Middle initial

8* Address

9* City | 10* State | 11* Zip code – | 12* Country (if not U.S.)

13* Government issued identification (if available)
a ☐ Driver's license/State I.D. b ☐ Passport c ☐ Alien registration d ☐ Other _____
e Number | f Issuing state or country _____

14* SSN/ITIN (individual) or EIN (entity) | 15 Date of birth ___/___/___ MM DD YYYY | 16 Phone number (include area code) ( ) – | 17 Vehicle Lic.# / State (Optional) a number | b state

18 Customer number, if any | 19 Occupation/Type of business

20* Endorser's (individual or Entity) name, if any | 21* Bank account number of endorser, if any | 22* Bank of first deposit, if any

Part II Suspicious Instrument/Money Transfer Information

23 Financial services involved in suspicious transaction(s) (Check all that apply.)
a ☐ Money Order b ☐ Traveler's Check c ☐ Money Transfer d ☐ Other _____

24 * Date or date range of suspicious activity
From ___/___/___ To ___/___/___
MM DD YYYY MM DD YYYY

25 Total dollar amount involved in suspicious activity $ .00

26.1* Serial number(s) of [a] money order(s) ☐ or [b] traveler's check(s) ☐ c Issuer name _____
d Starting No. | e Ending No.

26.2 Serial number(s) of [a] money order(s) ☐ or [b] traveler's check(s) ☐ c Issuer name _____
d Starting No. | e Ending No.

26.3 Serial number(s) of [a] money order(s) ☐ or [b] traveler's check(s) ☐ c Issuer name _____
d Starting No. | e Ending No.

27.1* Money transfer number
a Issuer name _____
b No.

27.2 Money transfer number
a Issuer name _____
b No.

Catalog No. 34944N

When Must a SAR-MSB Be Filed?

Any transaction or pattern of transactions conducted or attempted that is suspicious & involves or aggregates funds or assets of at least $2,000 if the MSB knows, suspects, or has reason to suspect the transactions are:

- Derived from illegal activity or is intended to hide or disguise funds or assets derived from illegal activity
- Designed to evade the requirements of the BSA, whether through structuring of other means

31 CFR 103.20

When Must a SAR-MSB Be Filed?

Any transaction or pattern of transactions (cont.)

- Serves no business or apparent lawful purpose & the MSB knows of no reasonable explanation for the transaction after examining all available facts

31 CFR 103.20

When Must a SAR-MSB Be Filed?

* Special note for issuers of money orders & travelers checks:

Issuers are required to report transactions or pattern of transactions that are suspicious & involve or aggregate funds or other assets of at least **$5,000** if ***identification of transactions is derived from review of clearance records or other similar records of items sold or processed.***

SAR Reporting for Securities & Futures Industry

Required to File a SAR

- Brokers or dealers in securities ("BD")
- Futures commission merchants ("FCM") (effective May 18, 2004)
- Introducing brokers in commodities ("IB") (effective May 18, 2004)

Securities & Futures Industries

Form to use:

- FinCEN 101 SAR-SF

FinCEN Form 101

January 2003

Suspicious Activity Report by the Securities and Futures Industries

▶ **Please type or print. Always complete entire report. Items marked with an asterisk * are considered critical. (See instructions).**

OMB No. 1506 - 0019

1 Check the box if this report corrects a prior report (see instructions, page 7) ☐

Part I Subject Information 2 Check box (a) ☐ if multiple subjects box (b) ☐ subject information unavailable

*3 Individual's last name or entity's full name | *4 First name | 5 Middle initial

6 Also known as (AKA - individual), doing business as (DBA - entity) | 7 Occupation or type of business

*8 Address | *9 City

10 State | *11 ZIP code | *12 Country (if not U.S.) | 13 E-mail address (if available)

*14 SSN/ITIN (individual), or EIN (entity) | *15 Account number(s) affected, if any. Indicate if closed. Acc't # ____ yes ☐ Acc't # ____ yes ☐ Acc't # ____ yes ☐ Acc't # ____ yes ☐ | 16 Date of birth ___/___/___ MM DD YYYY

*17 Government issued identification (if available)
a ☐ Driver's license/state ID b ☐ Passport c ☐ Alien registration d ☐ Corporate/Partnership Resolution
e ☐ Other
f ID Number | g Issuing state or country ____

18 Phone number - work ( ) - | 19 Phone number - home ( ) - | 20 Is individual/business associated/affiliated with the reporting institution? (See instructions) a ☐ Yes b ☐ No

Part II Suspicious Activity Information

*21 Date or date range of suspicious activity
From ___/___/___ MM DD YYYY To ___/___/___ MM DD YYYY

*22 Total dollar amount involved in suspicious activity $ ____.00

23 Instrument type (Check all that apply)

a ☐ Bonds/Notes	i ☐ Commodity options	q ☐ Commodity type ____ (Please identify)
b ☐ Cash or equiv.	j ☐ Security Futures Products	r ☐ Instrument description ____
c ☐ Commercial paper	k ☐ Stocks	s ☐ Market where traded ____ (Enter appropriate three or four-letter code.)
d ☐ Commodity futures contract	l ☐ Warrants	t ☐ Other (Explain in Part IV)
e ☐ Money Market Mutual Fund	m ☐ Other securities	
f ☐ Mutual Fund	n ☐ Other non-securities	
g ☐ OTC Derivatives	o ☐ Foreign currency futures	
h ☐ Other derivatives	p ☐ Foreign currencies	

24 CUSIP® number | 25 CUSIP® number | 26 CUSIP® number

27 CUSIP® number | 28 CUSIP® number | 29 CUSIP® number

*30 Type of suspicious activity:

a ☐ Bribery/gratuity	h ☐ Identity theft	o ☐ Significant wire or other transactions without economic purpose
b ☐ Check fraud	i ☐ Insider trading	p ☐ Suspicious documents or ID presented
c ☐ Computer intrusion	j ☐ Mail fraud	q ☐ Terrorist financing
d ☐ Credit/debit card fraud	k ☐ Market manipulation	r ☐ Wash or other fictitious trading
e ☐ Embezzlement/theft	l ☐ Money laundering/Structuring	s ☐ Wire fraud
f ☐ Futures fraud	m ☐ Prearranged or other non-competitive trading	t ☐ Other (Describe in Part VI)
g ☐ Forgery	n ☐ Securities fraud	

Catalog No. 35349U

When Must a SAR-SF Be Filed?

Any transaction or pattern of transactions conducted or attempted involving funds or other assets of at least $5,000 if the BD, FCM, or IB knows, suspects, or has reason to suspect the funds are:

- Derived from illegal activity
- Intended to hide or disguise funds or assets derived from illegal activity
- Designed to evade reporting requirements of the BSA or other laws or regulations

31CFR 103.19

When Must a SAR-SF Be Filed?

Any transaction or pattern of transactions (cont.)

- No business or apparent lawful purpose
- Not typical for customer
- BD, FCM, or IB knows of no reasonable explanation for transaction after examining all available facts

31 CFR 103.19

SAR Reporting for Casinos & Card Clubs

Casinos & Card Clubs

Form to use:

- FinCEN 102 SAR-C

FinCEN 102
FinCEN Form
April 2003

Previous editions will not be accepted after December 31, 2003

Suspicious Activity Report by Casinos and Card Clubs

Please type or print. Always complete entire report. Items marked with an asterisk * are considered critical (see instructions).

OMB No. 1506-0006

1 Check the box if this report corrects a prior report (see instructions on page 6) ☐

Part I Subject Information 2 Check box (a) ☐ if more than one subject box (b) ☐ subject information unavailable

*3 Individual's last name or entity's full name | *4 First name | *5 Middle initial

*6 also known as (AKA- individual), doing business as (DBA- entity) | 7 Occupation / type of business

*8 Address | *9 City

*10 State | *11 ZIP code | *12 Country (if not U.S.) | 13 Vehicle license # / state (optional) a number | b state

*14 SSN / ITIN (individual) or EIN (entity) | *15 Account number | No account affected ☐ | Account open? Yes ☐ No ☐ | 16 Date of birth MM DD YYYY

*17 Government issued identification (if available)
a ☐ Driver's license/state ID b ☐ Passport c ☐ Alien registration
d ☐ Other
e Number | f Issuing state or country

18 Phone number - work | 19 Phone number - home | 20 E-mail address (if available)

21 Affiliation or relationship to casino/card club
a ☐ Customer b ☐ Agent c ☐ Junket / tour operator d ☐ Employee e ☐ Check cashing operator
f ☐ Supplier g ☐ Concessionaire h ☐ Other (Explain in Part VI)

22 Does casino/card club still have a business association and/or an employee/employer relationship with subject? | 23 Date action taken (22) MM DD YYYY
a ☐ Yes b ☐ No If yes, why? c ☐ Barred d ☐ Resigned e ☐ Terminated f ☐ Other (Specify in Part VI)

Part II Suspicious Activity Information

*24 Date or date range of suspicious activity
From MM DD YYYY To MM DD YYYY

*25 Total dollar amount involved in suspicious activity $ .00

*26 Type of suspicious activity:
a ☐ Bribery/gratuity
b ☐ Check fraud (includes counterfeit)
c ☐ Credit/debit card fraud (incl. counterfeit)
d ☐ Embezzlement/theft
e ☐ Large currency exchange(s)
f ☐ Minimal gaming with large transactions
g ☐ Misuse of position
h ☐ Money laundering
i ☐ No apparent business or lawful purpose
j ☐ Structuring
k ☐ Unusual use of negotiable instruments (checks)
l ☐ Use of multiple credit or deposit accounts
m ☐ Unusual use of wire transfers
n ☐ Unusual use of counter checks or markers
o ☐ False or conflicting IDs
p ☐ Terrorist financing
q ☐ Other (Describe in Part VI)

Part III Law Enforcement or Regulatory Contact Information

27 If law enforcement or a regulatory agency has been contacted (excluding submission of a SARC), check the appropriate box
a ☐ DEA e ☐ U.S. Customs Service i ☐ State law enforcement
b ☐ U.S. Attorney (** 28) f ☐ U.S. Secret Service j ☐ Tribal gaming commission
c ☐ IRS g ☐ Local law enforcement k ☐ Tribal law enforcement
d ☐ FBI h ☐ State gaming commission l ☐ Other (List in item 28)

28 Other authority contacted (for box 27 g through l) ** List U.S. Attorney office here | 29 Name of person contacted (for all of box 27)

30 Telephone number of individual contacted in box 29 | 31 Date Contacted MM DD YYYY

Catalog No. 33656U

When Must a SAR-C Be Filed?

Any transaction or pattern of transactions conducted or attempted involving or aggregating funds or assets of at least $5,000 if the casino knows, suspects or has reason to suspect the funds are:

- Derived from illegal activity
- Intended to hide or disguise funds or assets derived from illegal activity
- Designed to evade reporting requirements of the BSA or other laws or regulations

31 CFR 103.21

When Must a SAR-C Be Filed?

Any transaction or pattern of transactions (cont.)

- Not typical for client
- Has no business or apparent lawful purpose
- Casino or Card Club knows of no reasonable explanation for transaction after examining all available facts

31 CFR 103.21

Suspicious Activity Report (SAR) Users

Who Uses the SAR Form?

Who Uses the SAR Form?

- Law Enforcement - To initiate and support money laundering, terrorist financing, and other criminal investigations
  - Federal law enforcement – DOJ, FBI, DEA, DHS, ICE, USSS, IRS, USPS
  - State law enforcement
  - Local law enforcement

Suspicious Activity Report (SAR) Users

Who Uses the SAR Form?

- Analysts –to identify trends & patterns
  - FinCEN
  - Joint agency financial task forces
  - Law enforcement agencies
  - Office of Foreign Assets Control (OFAC)

Suspicious Activity Report (SAR) Users

Who Uses the SAR Form?

- Federal Regulatory Authorities

  - BSA/AML compliance exams

An Important Note: Referral to FinCEN by regulatory authorities upon discovery of insufficient systems & programs to identify, investigate, document & report suspicious activity may result in:

- Civil monetary penalties
- Enforcement actions

Financial institution shall retain for ***5 years*** from the date of the filing:

- A copy of any SAR filed; ***and***
- The original or business record of ***any*** supporting documentation; ***and***
- Make all supporting documentation available to FinCEN & any appropriate law enforcement agencies or regulatory authorities

- **Another Important Reminder**

  Federal law requires that a financial institution, & its directors, officers, employees, and agents who, voluntarily or by means of a suspicious activity report, report suspected or known criminal violations or suspicious activity <u>may not</u> notify any person involved in the transaction that the transaction has been reported.

Questions?

Call the FinCEN Regulatory Help Line at 1-800-949-2732